

Status:	To Do
Project:	Design
Components:	None
Affects versions:	None
Fix versions:	None
Parent:	Accounting Software

Type:	Story	Priority:	Medium
Reporter:	Beatrice Ozanne	Assignee:	Unassigned
Resolution:	Unresolved	Votes:	0
Labels:	None		
Remaining Estimate:	Not Specified		
Time Spent:	Not Specified		
Original estimate:	Not Specified		

Attachments:	 Screenshot 2569-06-06 at 23.10.36.png
Sprint:	

Description

Background

When a customer has already paid an invoice and the client needs to give money back — a cancelled order, an overcharge, a returned product — the client raises a refund with a credit note. In Block 1 (Sales Invoice), this credits the Paid invoice and drives the actual money-out either through the Business Account or by recording a refund made another way.

Goal

Let a client refund a Paid invoice via a credit note — pre-filled from the invoice — either by a bank transfer (handed to the Business Account payment flow) or by marking it already refunded, updating the invoice through Pending Refund to Refunded.

Acceptance Criteria

1. Start a refund credit note from a Paid invoice

GIVEN an invoice with status **Paid**
WHEN the client selects "Refund with Credit Note"
THEN the system opens a New Credit Note form pre-filled from the invoice, all fields editable (see Carried-Over Data below)

1. Create the credit note

GIVEN the pre-filled form
WHEN the client edits/confirms the details and selects "Create credit note"
THEN the system creates the credit note **linked to the invoice** and sets the invoice to **Pending Refund**
AND the refund amount cannot exceed the amount paid

1. Choose a refund method

GIVEN a created refund credit note
WHEN the client selects "Refund Credit Note"
THEN the system shows the refund screen with two methods — **bank transfer** or **mark as already refunded** (see Refund Methods below)

1. Bank transfer hands off a pre-filled payment draft

GIVEN the client chooses bank transfer
WHEN they proceed
THEN the system opens the Business Account payment flow with beneficiary and amount **pre-filled as a draft** for the client to review and confirm (no auto-execution)
AND the resulting outgoing transfer is reconciled (matched) back to the credit note

1. Refund outcome updates the invoice

GIVEN the refund is completed (transfer confirmed, or marked already refunded)
WHEN the system applies it
THEN it updates the invoice per the Refund Outcome table below (full → **Refunded**; partial → stays **Pending Refund** with the deducted amount shown)

1. **Send the credit note**

GIVEN a created refund credit note
WHEN the system displays the "Send Credit Note" screen
THEN the client can close (invoice stays Pending Refund) or choose a send method (email / link / download), reusing the invoice send flow (STORY5_send_sales_invoice.md)

Rules

Refund Outcome

Refunded Amount	Linked Invoice Result
Full amount paid	Invoice marked Refunded
Partial amount	Invoice stays Pending Refund ; outstanding refund reduced; deducted amount displayed

Refund Methods

Method	Behaviour
Bank transfer	Opens the Business Account payment flow as a pre-filled draft ; client reviews and confirms; the outgoing transfer is reconciled to the credit note
Mark as already refunded	For refunds done by another mean; records the refund without an in-app transfer

Carried-Over Data (pre-fill from invoice)

Field	Behaviour
Client info	Carried over from the refunded invoice; editable
Linked invoice number	Carried over and stored as the link; reference shown on the credit note
Line items / products & services	Carried over; editable for a partial refund
Currency	Same as the refunded invoice

Notes

- Surface: client side is the **mobile app**; the Operation Manager **back office is web**.
- Applies to **Paid** invoices. For cancelling **unpaid** invoices (Awaiting Payment / Overdue), see STORY6_create_sales_credit_note.md.
- Invoice status path: **Paid** → **Pending Refund** (on credit note creation) → **Refunded** (full refund).
- Bank transfer is a **pre-filled draft** handed to the Business Account payment flow — the client confirms it; the BA flow owns transfer execution and any transfer failures.
- The outgoing refund transfer is **reconciled/matched** to the credit note, mirroring invoice reconciliation.
- **Journal entries** (reversing) are specified in the Chart of Accounts / Journal story, not here.
- Dev note: invoice data (client info + invoice number) is **carried over** to the credit note.
- Out of scope: building the Business Account payment flow, the unpaid-cancellation flow (Story 6), and the View Credit Note flow (Story 8).

Additional Details

- Multiple partial refunds can be raised cumulatively against one invoice. Allow multiple credit notes against one invoice, capped at the invoice total. Track cumulative credited amount; when it equals the invoice total, status → Refunded.
- Credit notes have their own number sequence (CN-XXXX, separate from invoices) and own lifecycle, independent of the invoice.
- A reason field is required on the refund credit note. Dropdown (return / defect / pricing error / goodwill / dispute) plus optional free text.
- For "mark as already refunded" a reference/proof (date, method, amount) must be captured: date, method, amount at minimum. Needed as evidence and to post the journal.
- Pending Refund must be shown as "awaiting refund" list for visibility. No automated SLA or reminders.

Workflow Diagram

Refund with Credit Note — Flow

For Paid Invoices - Green = paid/refunded - Orange = pending refund - Blue = payment / send

